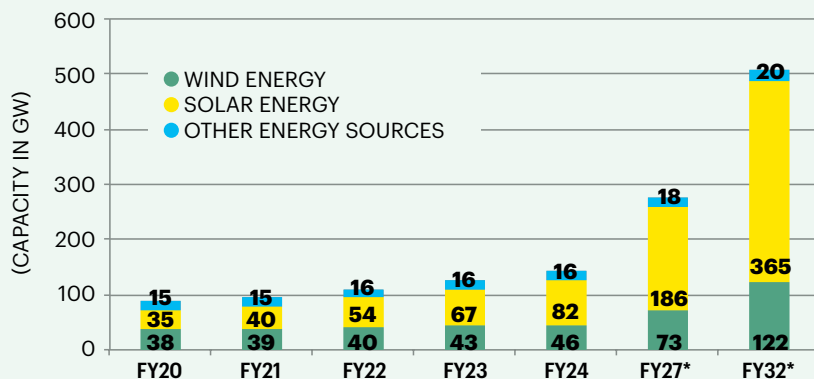


A PLACE IN THE SUN

- The government has set up a steep growth target for the next nine years
- Solar energy will become a key driver of decarbonisation

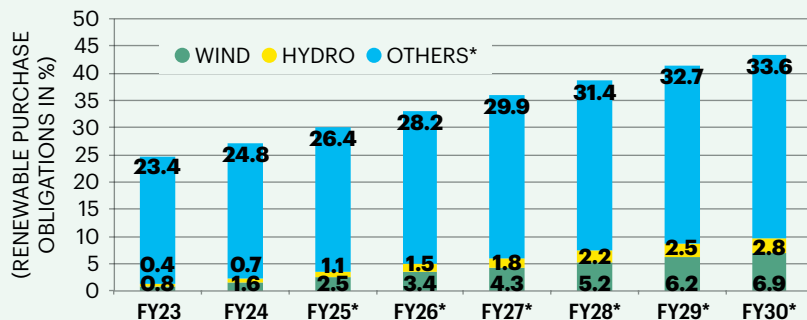


*ESTIMATES BY THE CENTRAL ELECTRICITY AUTHORITY

SOURCE MORGAN STANLEY RESEARCH

SUNNY OUTLOOK

- Renewable purchase obligations are expected to increase to 43.3% by FY30

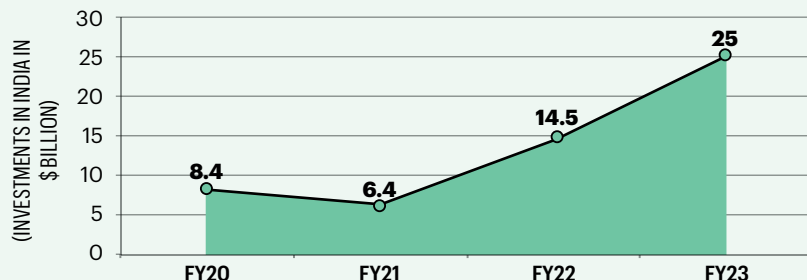


*POWER MINISTRY'S ESTIMATES BASED ON ENERGY DEMAND PROJECTIONS

NOTE OTHERS INCLUDE SOLAR **SOURCE** MINISTRY OF POWER, MORGAN STANLEY RESEARCH

GREEN SHOOTS

- The RE sector is expected to receive \$350-400 billion investment in FY24-30



SOURCE IEEFA/ECONOMIC SURVEY 2023-24

(IEA) estimates that India needs \$160 billion per year, on average, between now and 2030 to put it on track to reach net zero by 2070. That's three times today's investment levels.

Public investment alone will be insufficient to tackle India's adaptation and mitigation targets. Access to low-cost long-term capital is key, so bringing in private sector investment is vital. Experts say blended financial instruments like concessional loans, guarantees, subordinated debt, and performance-based incentives, in combination with other tools such as advisory and technical assistance, can help. Climake, too, expects blended instruments to bring in grants with risk capital. Besides, industry players say incentives like tax breaks and concessional loans, too, can expedite the transition.

Hygenco's Bansal suggests introducing measures such as carbon pricing to promote demand for green hydrogen and green ammonia. "Lower taxes, improving infrastructure for attracting investments, and duty waivers can go a long way in boosting exports," he adds.

The next two decades will be pivotal, Lolla of Ember says. The expansion of solar energy, wind, and battery storage, electricity grid modernisation, and the ability to attract investments will determine the pace of the transition. "As we enter the 2030s, new electrification technologies are expected to emerge, leading to a sizeable rise in electricity demand," he tells BT.

India's march to become a developed economy by 2047 and reach net zero by 2070 has begun in earnest, but a lot needs to be done to meet those targets. **BT**

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